Printed Pages – 13

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MBA (3rd Semester)

Examination, Nov.-Dec., 2013

Branch : Management

TAXATION AND TAX PLANNING (NEW)

Time Allowed : Three Hours

Maximum Marks : 80

Minimum Pass Marks : 32

Note : Attempt any two question from each part.

Part-A

Q. 1. Explain the following terms : 8

(i) Assessment year

(ii) Previous year

(iii) Gross Total Income

(iv) Agricuture income

Q. 2. Salman Khan is an Indian citizen. He went out of India on 15th August 2011 for a service in a company in Japan and came back to India on 1st March 2012 to meet his family. During the previous year his income were as follows : 8

(i) Income from salary in Japan Rs. 1,60,000

(ii) Interest on debenture of an Indian company received in Japan 18,000

(iii) Rent received from house property in Rajasthan 18,500

(iv) Dividend on shares of foreign company Rs. 7,500, received out of India

(v) Interest received from a firm in Japan, remitted to India Rs. 9,200

(vi) Payment from public provident fund Rs. 10,000

(vii) Dividend from Indian company Rs. 5,000

(viii) Indian agriculture income Rs. 12,000

Determine his Residential Status and Gross Total Income.

Q. 3. What are the various income which are exempted from Tax ? 8

Part-B

Q. 1. Mr. Ravi was a manager in a factory in Delhi which is not covered by the Gratuity Act. He got 16,000 pm as basic pay 1600 pm as dearness allowance and Rs. 1000 pm as house rent allowance. He lives in his own house. He got 10,000 as travelling allowance for tour.

He retired on 1st Jan. 2012 and got Rs. 1,60,000 as Gratuity and Rs. 2,00,000 as accumulated balance is his unrecognize provident fund. He also received Rs. 1,76,000 being the amount of salary including dearness allowance for 10 months earned leave to his credit at the time of retirement.

He was allowed to get pension of Rs. 4,000 pm, three fourth of which was commuted for Rs. 1,80,000. He started his service on 1st August 1980 and his average salary during ten months preceeding his retirement was Rs. 15,600.

Compute the taxable Income from salary for A.Y. 2012-13.

Q. 2. Calculate income from house property for A.Y. 2012-13. 8

Muncipal value of house – 40,000

Muncipal taxes paid – 8000

House was self-occupied. It contain two units but one unit of the house was let out @ 2000 pm from 1-10-2011. Following expenses were incurrred.

(i) Fire Insurance premium

(ii) Ground rent

(iii) Land revenue

A loan of Rs. 40,000 was taken on April, 1, 2007 @ 15% p.a. for the construction of this house. The house was completed on 31.5.2009 and only half the loan was refunded on 31.3.2011.

Q. 3. Explain the following : 8

(a) Perquisities

(b) House Rent Allowance

Part-C

Q. 1. Mr. K. Bajaj lives in Bhopal. He is a lawyer and his receipts and payment account is given : 8

Opening Balance	1892	Books (Annual pub.)	800
Fees Received	240000	Repairs of House	1200
Salary as part time lecturer	3600	Local Taxes	600
Exam. Remuneration from university	2300	Maintenance Exp. of car	2000
		Office expenses	4000
Interest on Bank Deposits	1200	Domestic expenses	120000
Amount received on car sold	18000	Plant purchased for office use	700
Shares sold	16000	Car purchased	25000
Dividend Received	1540	L/C	5000
		Donation to Recognised Institution	1200
		Gift	400
		Income Tax	3500
		Assessment Exp.	200
		Bank deposit	13000
		Public provident fund	4000
		Balance	1,02,932

Additional information :

(i) $\frac{1}{3}$rd part of building is used for profession and $\frac{2}{3}$rd for residence

(ii) The car is used both for personal and official purpose

(iii) Books purchased for teaching Rs. 200 and remaining for profession

Q. 2. 'A' sold a long term capital asset for 12,00,000 in August 2011. It was purchased in August 1981 for 120000. In October, 2011 he purchased bonds issued by NHAI for Rs. 1,50,000. Equity shares for Rs. 1,00,000 and a residential house in Mumbai for Rs. 3,00,000. In August 2011 he did not own any other residential house, though he owned a big house property in Delhi. Compute taxable income. 8

Q. 3. Explain the following : 8

(i) Income from other sources

(ii) Index cost of acquisition

(iii) Section 44 A, 44 AB

Part-D

Q. 1. Mr. Singh, a resident of India submits the following particulars of his income for the A.Y. 2012-13 : 8

(i) Income from house let out (computed) 9500

(ii) Profit from radio business Rs. 19600

(iii) Interest from firm – Rs. 1800

(iv) Speculation Income – Rs. 19000

(v) Short-term capital gain – Rs. 3200

(vi) Long term capital gain – Rs. 1400

The following items are brought forward from previous year :

(i) Loss from radio business – Rs. 4600

(ii) Unabsorbed depreciation – Rs. 1000

(iii) Speculation loss – Rs. 3200

(iv) Short-term capital loss for the A.Y. 2007-08 – Rs. 4100

(v) Long term capital loss for 2008-09 – Rs. 3950

Current year depreciation Rs. 500. Calculate gross total income.

Q. 2. A, B and C are partners in a firm with equal shares. The profit and loss account for 31st March 2011 is given below : **8**

Interest on capital @ 12%					
	A	8000		Gross profit	9000
	B	7000		Loss	
	C	9000		A	125000
			24000	B	125000
Salary :				C	125000
	A	120000			
	B	120000			
	C	120000	360000		
			384000		384000

Compute book profit and total income of firm.

Q. 3. From the following information compute the total income and tax liability of Mr. Raj Kumar who is 70 years old and disabled for the A.Y. 2012-13. **8**

Income from house property (computed)	–	70,000
Income from business or profession	–	7,75,000
Short-term capital gain	–	10,000
Long term capital loss	–	15,000
Bank Interest	–	14,000

Part-E

Q. 1. Explain the concept of tax planning and tax management ? **8**

Q. 2. What do you mean by VAT ? Explain the concept with an example and specify the merits of VAT ? **8**

Q. 3. Briefly explain the following : **8**

(i) Inter state sale

(ii) Intra state sale

(iii) CST